

2018 P L C 249

[Lahore High Court]

Before Jawad Hassan, J

FIRST WOMEN BANK LIMITED

Versus

Ms. UZMA WAHID and 2 others

W.P. No.30979 of 2012, decided on 28th March, 2018.

(a) Industrial Relations Ordinance (XCI of 2002)---

---S.46(5)---Termination of Service---Grievance petition---Reinstatement of worker with compensation and back benefits---Effect---Employee was reinstated awarding the compensation by the Labour Court but Labour Appellate Tribunal modified the said judgment and ordered that worker besides compensation would also be entitled to back benefits---Contention of employer was that back benefits and compensation could not be awarded simultaneously---Validity---Labour Court could only award compensation in lieu of reinstatement of the worker if found the termination wrongful---Something could not be granted which was beyond the parameters of the law---Impugned judgment passed by the Labour Appellate Tribunal was set aside---Constitutional petition was allowed in circumstances.

Echo West International (Pvt.) Ltd v. Pakland Cement Ltd. 2008 CLD 85; Messrs Ideal Life Insurance Co. Ltd. and another v. Mst. Khairunnisa A.G. Mirza 1980 CLC 1375 and Messrs Standard Hotels (Private) Ltd. v. Messrs Rio Centre and others 1994 CLC 2413 distinguished.

Balochistan Engineering Works Ltd. v. Abdul Hameed and others 2007 SCMR 1160 rel.

(b) Constitution of Pakistan---

---Arts. 189 & 190---Judgment of the Supreme Court---Binding effect---Scope---Any decision of Supreme Court to the extent that it had decided a question of law or was based upon or enunciated a principle of law was binding on all other courts in Pakistan---All judicial and executive authorities were bound to act in aid of the Supreme Court.

Imran Muhammad Sarwar for Petitioner.

Muhammad Yaqoob Sindhu for Respondent No.1.

JUDGMENT

JAWAD HASSAN, J.--- Through the instant Constitutional petition, filed under Article

199 of the Constitution of the Islamic Republic of Pakistan, 1973 (the "Constitution"), the Petitioner has challenged the impugned judgment dated 18.05.2012 passed by the Respondent No.2/Punjab Labour Appellate Tribunal, Lahore whereby it accepted the Appeal filed by the Respondent No.1.

2. The facts tersely revealed from the petition are that the Respondent No.1 was terminated from service vide termination order dated 11.09.1999 whereby she approached the Respondent No.3 who vide judgment dated 18.10.2010 accepted her petition and awarded compensation as provided in section 46 (5) of the Industrial Relations Ordinance, 2002 (the "Ordinance"). Feeling dissatisfied from the order of the Respondent No.3, the Respondent No.1 filed Appeal before the Respondent No.2 for modification of the said judgment who accepted the Appeal and ordered that the Respondent No.1 besides the compensation as ordered by the Respondent No.3 will also be entitled to back benefits. Hence, this petition.

Learned counsel for the Petitioner inter alia contended that the impugned judgment is against law and facts; that the impugned judgment is contrary to law as the back benefits and the compensation cannot be awarded simultaneously which is against the spirit of section 46 (5) of the Ordinance; that the Respondent No.2 misinterpreted the law while replying upon an unreported judgment; that the impugned judgment is result of misreading and non-reading of material available on record, as such liable to be set aside. He has placed reliance on the case titled Balochistan Engineering Works Ltd. v. Abdul Hameed and others (2007 SCMR 1160).

4. On the other hand learned counsel for the Respondent No.1 vehemently contested the arguments advanced by the learned counsel for the Petitioner and prayed for dismissal of the instant petition on the grounds that the Respondent No.2 has rightly awarded the back benefits besides the compensation while relying upon the latest view of the Hon'ble Supreme Court of Pakistan; that the petition has not been filed by the competent person and has placed reliance on the case titled Echo West International (Pvt.) Ltd v. Pakland Cement Ltd. (2008 CLD 85), Messrs Ideal Life Insurance Co. Ltd. and another v. Mst. Khairunnisa A.G. Mirza (1980 CLC 1375) and M/s Standard Hotels (Private) Ltd. v. M/s. Rio Centre and others (1994 CLC 2413).

5. Arguments heard and record perused.

6. Basically, the Petitioner has made challenge to the relief given by the Respondent No.2 to the Respondent No.1 vide the impugned judgment with the assertion that the Respondent No.2 cannot grant back benefits and compensation simultaneously, as such the relief to the extent of back benefits be set aside. From the perusal of record it reveals that initially the Labour Court in lieu of reinstatement and back benefits of the Respondent No.1 awarded compensation to her under section 46 (5) of the Ordinance whereas the Appellate Tribunal modified the judgment and granted the Respondent No.1 back benefits besides compensation in lieu of her reinstatement. The whole case revolves around the section 46(5) of the Ordinance in pursuance of which the Labour Court awarded the compensation to the Respondent No.1 in lieu of her reinstatement. For the sake of brevity the said Section is reproduced herein below and is as follows:

(5) The Labour Court, in case the termination of services of a workman is held to be wrongful, may award compensation equivalent to not less than twelve months and not more than thirty months basic pay last drawn and house rent, if admissible, in lieu of

reinstatement of the worker in service."

7. From the bare reading of the above referred section, it is unequivocal that the Labour Court can only award compensation in lieu of reinstatement of the worker if found the termination of the services of workman wrongful. In the present case the Labour Court while exercising the said power has awarded compensation to the Respondent No.1 in lieu of her reinstatement and back benefits but the Appellate Tribunal has modified the judgment by adding back benefits besides compensation. The perusal of impugned judgment dated 18.05.2012 passed by the Respondent No.2 reflects that it relied upon the judgment of the Hon'ble Supreme Court of Pakistan passed in case titled Metal Containers (Pvt.) Limited v. Tausif un Nabi" (C.P. No.121-K of 2007) which is an unreported judgment and distinguishable from the facts and circumstances of the case in hand whereas on the other hand the judgment relied upon by the learned counsel for the Petitioner i.e. Balochistan Engineering Works Ltd. supra is a reported judgment and similar to the facts and circumstances of the present case and therefore, can be relied upon. In this judgment the Hon'ble Supreme Court of Pakistan has enunciated the principles of law and interpreted section 46(5) of the Ordinance, therefore, it has binding effect upon the Courts below. Any decision of the Hon'ble Supreme Court of Pakistan to the extent that it decides a question of law or is based upon or enunciates a principle of law is binding on all other Courts in Pakistan. According to Article 189 of the Constitution, the judgment of the Honourable Supreme Court is binding upon the High Court. Likewise Article 190 of the Constitution requires all judicial and executive authorities to act in aid of the Honourable Supreme Court. In the instant case, the finding was passed by the Honourable Supreme Court in a reported judgment after deciding a question of law. The Hon'ble Supreme Court of Pakistan has developed the jurisprudence and interpreted section 46(5) of the Ordinance. For the sake of brevity the relevant portion of the said judgment is reproduced below and is as follows:

"Adverting to the contentions of the learned counsel for the petitioner-Company, we are of the considered opinion that the provisions of section 46(5) of the 'Ordinance leads to no ambiguity or confusion, which provides that if the termination of the service of a workman is held to be wrongful by a Labour Court, it may award compensation equivalent to not less than twelve months and not more than thirty months basic pay last drawn and house rent if admissible in lieu of reinstatement of the worker in service, clearly laid down that even if a worker had been found to have been wrongfully terminated from service instead of making the order for his reinstatement in service, he could be compensated in terms of above said section and when such a worker is be compensated in lieu of his reinstatement, such a worker obviously would not be entitled for the back-benefits for the period for which he remained out of service, thus, both the reliefs simultaneously are not permissible under the law."

Whereas in the unreported judgment cited by the learned counsel for the Respondent as well as relied upon by the Court below it has been observed as under:

"In his arguments learned counsel for the petitioner could not persuade us to dislodge the above findings recorded by appellate Court. In the circumstances, we do not find any substance in his oral submissions that learned appellate Court failed to apply its judicial mind. The impugned judgment, therefor; call for no interference."

8. In view of the above situation, when the law is crystal clear on the point under discussion vis: whether the back benefits can be awarded besides the compensation in lieu of reinstatement of a workman, something cannot be granted which is beyond the parameters of the law. Furthermore, the judgments relied upon by the learned counsel for the Respondent No.1 are distinguishable from the facts and circumstances of the case in hand, as such cannot be relied upon in the light of the judgment of the apex Court.

9. As a sequel, the instant petition is allowed and the impugned judgment dated 18.05.2012 passed by the Respondent No.2 is hereby set aside. Resultantly, the judgment of the Respondent No.3 shall remain in field.

ZC/F-6/L

Petition allowed.